

Laopu Gold 6181.HK 6181 HK

EQUITY: GENERAL CONSUMER

Recalibrating expectation

2Q26 sales and profit saw meaningful y-y weakening, which appears to have been largely priced in

2Q26 sales growth decelerated significantly from 1Q26

Laopu issued a positive profit alert for 1H26: its revenue rose by 60-66% y-y to CNY19.8-20.5bn; adjusted net profit (excluding share-based compensation) grew by 83-85% y-y to CNY4.3-4.4bn with net margin improving to 21-22% (vs. FY25's adjusted net margin of 18.4%). In 2Q26, Laopu experienced a meaningful slowdown in sales momentum, with its quarterly revenue declining by c.30% y-y and its quarterly adjusted earnings dropping by c.23-25% y-y, by our estimate. As discussed in our earlier note ([link](#)), Laopu's 2Q26 sales were dragged by the sustained weakness in gold price in 1H26, as well as its product price hike at the end of February 2026. Meanwhile, we believe the sluggish sales performance has largely been priced into Laopu's valuation; we expect Laopu's efforts to continuously elevate its brand recognition, improve its boutiques' locations, expand its boutiques' floor areas, focus on targeted product launches, and nurture the VIC segment will ultimately pay off, especially should spot gold price stabilize. Laopu, in our view, remains on track to become one of China's legitimate, high-end consumer brands, despite the weakened sales in 2Q26. We, thus, maintain our target price of HKD905.00; reiterate Buy.

Operations improving despite volatile sales in 2Q26

In 2Q26, Laopu stuck to its path of operational improvement, namely unique product introductions, boutique upgrades and VIC segment's expansion. In particular, we are positive on Laopu's recent store upgrade efforts (e.g., relocation/expansion of boutiques in Shenzhen MixC World, the Shanghai IFC Mall, and the Shanghai Plaza 66). Upgrading these shops will not only increase the servicing areas of Laopu to accommodate more consumers, but also enable differentiated shopping experiences for customers, in our view.

Maintain Buy and target price of HKD905.00 (128% implied upside)

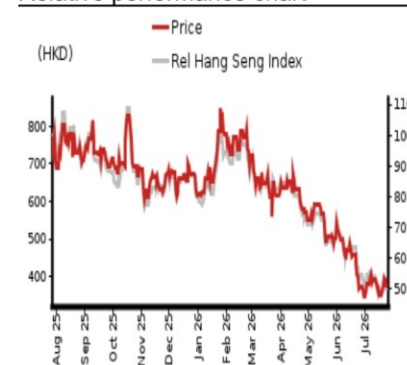
We keep our FY26F-28F financial forecasts unchanged. Although the company's sales experienced headwinds from the decline in gold prices in 2Q26, we believe it has been more or less priced in by the capital market. Meanwhile, should gold prices stabilize in the next few quarters, the capital market could turn less pessimistic about Laopu's sales, in our view. Our target price of HKD905.00 (unchanged) is based on 12M forward P/E of 20.0x (unchanged). The stock trades at 9.4x 12M forward P/E.

Year-end 31 Dec	FY25		FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New	
Revenue (mn)	27,303	37,597	37,597	43,966	43,966	49,333	49,333	
Reported net profit (mn)	4,868	7,003	7,003	8,231	8,231	9,261	9,261	
Normalised net profit (mn)	4,868	7,003	7,003	8,231	8,231	9,261	9,261	
FD normalised EPS	27.60	39.70	39.70	46.66	46.66	52.50	52.50	
FD norm. EPS growth (%)	191.4	43.9	43.9	17.5	17.5	12.5	12.5	
FD normalised P/E (x)	13.5	—	9.4	—	8.0	—	7.6	
EV/EBITDA (x)	10.2	—	7.1	—	6.0	—	5.7	
Price/book (x)	5.9	—	4.3	—	3.3	—	2.7	
Dividend yield (%)	3.2	—	4.5	—	5.3	—	5.6	
ROE (%)	66.4	53.7	53.7	46.6	46.6	40.4	40.4	
Net debt/equity (%)	38.4	16.1	16.1	12.0	12.0	8.6	8.6	

Source: Company data, Nomura estimates

Rating Remains	Buy
Target price Remains	HKD 905.00
Closing price 27 July 2026	HKD 396.40
Implied upside	+128.3%
Market Cap (USD mn)	8,934.4
ADT (USD mn)	67.5

Relative performance chart



Source: LSEG, Nomura

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Key data on Laopu Gold

Performance

(%)	1M	3M	12M		
Absolute (HKD)	6.8	-30.5	-48.1	M cap (USDmn)	8,934.4
Absolute (USD)	6.8	-30.5	-48.1	Free float (%)	12.0
Rel to Hang Seng Index	-3.3	-26.7	-46.5	3-mth ADT (USDmn)	67.5

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	8,506	27,303	37,597	43,966	49,333
Cost of goods sold	-5,004	-17,029	-23,089	-26,952	-30,229
Gross profit	3,501	10,274	14,507	17,014	19,104
SG&A	-1,528	-3,724	-5,245	-6,155	-6,906
Employee share expense					
Operating profit	1,973	6,549	9,262	10,859	12,198
EBITDA	2,154	6,889	9,669	11,308	12,685
Depreciation	-178	-301	-369	-411	-448
Amortisation	-3	-38	-38	-38	-38
EBIT	1,973	6,549	9,262	10,859	12,198
Net interest expense	-30	-139	-141	-143	-144
Associates & JCEs					
Other income	4	-26	-27	-27	-27
Earnings before tax	1,947	6,384	9,094	10,690	12,027
Income tax	-473	-1,516	-2,092	-2,459	-2,766
Net profit after tax	1,473	4,868	7,003	8,231	9,261
Minority interests	0	0	0	0	0
Other items					
Preferred dividends					
Normalised NPAT	1,473	4,868	7,003	8,231	9,261
Extraordinary items					
Reported NPAT	1,473	4,868	7,003	8,231	9,261
Dividends	-1,070	-2,052	-2,952	-3,470	-3,904
Transfer to reserves	403	2,816	4,051	4,761	5,357

Valuations and ratios

Reported P/E (x)	39.3	13.5	9.4	8.0	7.6
Normalised P/E (x)	39.3	13.5	9.4	8.0	7.6
FD normalised P/E (x)	39.3	13.5	9.4	8.0	7.6
Dividend yield (%)	1.7	3.2	4.5	5.3	5.6
Price/cashflow (x)	—	—	12.1	15.5	14.4
Price/book (x)	15.4	5.9	4.3	3.3	2.7
EV/EBITDA (x)	30.9	10.2	7.1	6.0	5.7
EV/EBIT (x)	33.7	10.7	7.4	6.3	5.9
Gross margin (%)	41.2	37.6	38.6	38.7	38.7
EBITDA margin (%)	25.3	25.2	25.7	25.7	25.7
EBIT margin (%)	23.2	24.0	24.6	24.7	24.7
Net margin (%)	17.3	17.8	18.6	18.7	18.8
Effective tax rate (%)	24.3	23.7	23.0	23.0	23.0
Dividend payout (%)	72.6	42.2	42.2	42.2	42.2
ROE (%)	57.5	66.4	53.7	46.6	40.4
ROA (pretax %)	51.3	52.8	46.5	46.6	42.2

Growth (%)

Revenue	167.5	221.0	37.7	16.9	12.2
EBITDA	210.4	219.7	40.4	16.9	12.2
Normalised EPS	212.6	191.4	43.9	17.5	12.5
Normalised FDEPS	212.6	191.4	43.9	17.5	12.5

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	2,154	6,889	9,669	11,308	12,685
Change in working capital	-2,866	-10,540	-2,304	-4,801	-5,271
Other operating cashflow	-517	-3,197	-1,957	-2,286	-2,567
Cashflow from operations	-1,228	-6,848	5,408	4,221	4,847
Capital expenditure	-71	-415	-247	-255	-263
Free cashflow	-1,299	-7,263	5,161	3,966	4,584
Reduction in investments	0	0	0	0	0
Net acquisitions	-71	-415	-247	-255	-263
Dec in other LT assets	-65	-127	-66	-38	-38
Inc in other LT liabilities	-1	9	25	17	17
Adjustments	137	485	250	238	246
CF after investing acts	-1,299	-7,311	5,123	3,928	4,546
Cash dividends					
Equity issue					
Debt issue					
Convertible debt issue					
Others	1,962	8,646	-3,468	-3,895	-4,352
CF from financial acts	1,962	8,646	-3,468	-3,895	-4,352
Net cashflow	663	1,335	1,655	33	194
Beginning cash	70	733	2,068	3,723	3,757
Ending cash	733	2,068	3,723	3,757	3,950
Ending net debt	641	4,196	2,441	2,408	2,214

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	733	2,068	3,723	3,757	3,950
Marketable securities					
Accounts receivable	801	1,280	1,736	1,791	2,167
Inventories	4,088	16,044	16,419	21,322	26,333
Other current assets	212	1,157	1,568	1,831	2,053
Total current assets	5,833	20,549	23,447	28,700	34,503
LT investments					
Fixed assets	113	175	314	441	559
Goodwill					
Other intangible assets	3	13	13	13	13
Other LT assets	388	515	581	618	656
Total assets	6,337	21,253	24,354	29,772	35,731
Short-term debt	1,373	6,164	6,164	6,164	6,164
Accounts payable	10	17	28	33	37
Other current liabilities	865	3,699	2,626	3,041	3,375
Total current liabilities	2,249	9,880	8,819	9,238	9,577
Long-term debt	0	100	0	0	0
Convertible debt					
Other LT liabilities	168	177	202	219	235
Total liabilities	2,416	10,157	9,020	9,457	9,812
Minority interest	168	176	176	176	176
Preferred stock					
Common stock					
Retained earnings	2,682	8,867	12,205	16,669	21,839
Proposed dividends	1,070	2,052	2,952	3,470	3,904
Other equity and reserves					
Total shareholders' equity	3,752	10,919	15,158	20,139	25,743
Total equity & liabilities	6,337	21,253	24,354	29,772	35,731

Liquidity (x)

Current ratio	2.59	2.08	2.66	3.11	3.60
Interest cover	64.8	47.1	65.5	76.0	84.5

Leverage

Net debt/EBITDA (x)	0.30	0.61	0.25	0.21	0.17
Net debt/equity (%)	17.1	38.4	16.1	12.0	8.6

Per share

Reported EPS (CNY)	9.47	27.60	39.70	46.66	52.50
Norm EPS (CNY)	9.47	27.60	39.70	46.66	52.50
FD norm EPS (CNY)	9.47	27.60	39.70	46.66	52.50
BVPS (CNY)	24.12	63.58	85.93	114.17	145.94
DPS (CNY)	6.35	11.95	16.74	19.67	22.13

Activity (days)

Days receivable	25.3	13.9	14.6	14.6	14.7
Days inventory	195.3	215.8	256.6	255.6	288.5
Days payable	1.4	0.3	0.4	0.4	0.4
Cash cycle	219.2	229.4	270.9	269.8	302.7

Source: Company data, Nomura estimates

Company profile

Laopu Gold is a prominent jewelry company that designs, manufactures, and sells a wide range of exquisite jewelry products across Mainland China, Hong Kong, and Macau. Their offerings include elegant pendants, bangles, bracelets, rings, and ear studs, as well as specialized gem-set jewelry featuring diamonds and other precious gemstones. In addition to their retail products, Laopu Gold provides maintenance and repair services, ensuring the longevity and beauty of their jewelry for customers. With a commitment to quality and craftsmanship, Laopu Gold has established itself as a trusted name in the jewelry industry.

Valuation Methodology

Our target price of HKD905 is based on 20x FY26F P/E, consistent with Laopu's average F12M P/E of 20.3x since its listing in June 2024. The benchmark index for the company is the Hang Seng Index.

Risks that may impede the achievement of the target price

Key downside risks include: 1) any significant weakening of gold price, 2) higher-than-expected fashion risk, 3) weaker-than-expected macro environment.

ESG

Laopu Gold is dedicated to sustainable mining, employing eco-friendly extraction methods and efficient water management to minimize environmental impact while fostering community engagement through local job creation and investment in health and safety. The company aims to reduce its carbon footprint by implementing energy solutions and optimizing water usage, and has committed to investing USD2mn in community development projects by end-2024.

Appendix A-1

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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Laopu Gold	6181 HK	HKD 396.40	27-Jul-2026	Buy	N/A	

Laopu Gold (6181 HK)

HKD 396.40 (27-Jul-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

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As at 30 June 2026.

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